

THE WALL STREET JOURNAL.

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DJIA 42326.87 ▼ 1123.03 2.58% NASDAQ 19392.69 ▼ 3.6% STOXX 600 514.43 ▲ 0.1% 10-YR. TREAS. ▼ 28/32, yield 4.493% OIL \$70.58 ▲ \$0.50 GOLD \$2,636.50 ▼ \$7.90 EURO \$1.0356 YEN 154.84

What's News

Business & Finance

◆ **The Fed signaled** greater doubt over how much it would continue to cut interest rates after agreeing to a quarter-point reduction that Chair Jerome Powell said was a close call. **A1**

◆ **U.S. stocks swooned** after the Fed's indication, with the Dow industrials plunging 1,123 points, or 2.6%, and the S&P 500 and Nasdaq sliding 2.9% and 3.6%, respectively. **B1**

◆ **Cocoa prices soared** to a record, exceeding \$12,000 a ton, as the crop outlook for West Africa worsens, fueling concerns of supply shortfalls. **B1**

◆ **The Netherlands' privacy regulator** fined Netflix the equivalent of \$4.8 million, saying the platform didn't give users adequate information on how it processes their personal data. **B4**

◆ **Disney's decision** to settle Trump's defamation lawsuit against ABC News prompted a backlash within the network among many rank and file who wanted a defense. **B1**

◆ **VW said it would invest** \$48 million in Canadian lithium company Patriot Battery Metals as it seeks to secure a supply of lithium raw materials from North America. **B4**

◆ **The EU's drug regulator** said it would review a potential link between Novo Nordisk's Ozempic diabetes drug and a rare eye condition that causes vision loss. **B3**

◆ **UniCredit raised its stake** in Commerzbank to 28%, reigniting expectations that it could launch a mandatory takeover offer for the lender. **B9**

◆ **Merck is doubling down** on getting into the weight-loss-drug market, scooping up a pill developed in China. **B3**

World-Wide

◆ **Trump torpedoed** a bipartisan deal struck by congressional leaders to avoid a partial government shutdown this weekend, insisting that lawmakers tear up the agreement and pass a narrower bill that includes an increase in the nation's borrowing limit. **A1**

◆ **U.S. authorities are investigating** whether a Chinese company whose popular home-internet routers have been linked to cyberattacks poses a national-security risk and are considering banning the devices. **A1**

◆ **The Senate advanced** a bill extending billions of dollars in Social Security benefits to some public-sector workers whose payments are currently limited. **A3**

◆ **The Supreme Court said** it would decide the constitutionality of a law that would effectively ban TikTok in the U.S. if it doesn't shed its Chinese ownership. **A3**

◆ **Russia withdrew** advanced air-defense systems and other sophisticated arms from bases in Syria and shifted them to Libya, U.S. and Libyan officials said. **A8**

◆ **Two NASA astronauts** who have been stuck in space since June have had their return flight pushed back again. **A3**

◆ **Republican Rep. Darin LaHood** of Illinois introduced a proposal in Congress that would let expatriate Americans pay income taxes only where they live. **A4**

◆ **France's highest court** upheld an appeals-court decision that found former President Nicolas Sarkozy guilty of corruption and influence peddling while he was head of state. **A10**

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U.S. News	A2-7
Heard on Street	B10
World News	A8-10



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'Chainsaw' Milei Counts on Trump



REVVED UP: Argentina's President Javier Milei—with the chainsaw that has come to symbolize his spending cuts—said in an interview that he is counting on President-elect Donald Trump's help to overhaul the South American country's economy. **A9**

Salvo From Trump Sinks Stopgap Spending Deal

WASHINGTON—President-elect Donald Trump torpedoed a bipartisan deal struck by congressional leaders to avoid a partial government shut-

By Lindsay Wise, Katy Stech Ferek and Alex Leary

down this weekend, insisting that Republican lawmakers tear up the sprawling agreement and pass a narrower bill that also includes an increase in the nation's borrowing limit. Trump's demands upended

efforts to pass a stopgap spending bill to keep the government funded through mid-March, a measure that includes more than \$100 billion in disaster and farm aid. Trump said Congress should craft a new deal that keeps the aid but leaves out other measures that angered some GOP lawmakers, and couple that with an immediate boost in the federal debt cap, ahead of a deadline looming next year. "We should pass a streamlined spending bill," Trump said in a statement with Vice

President-elect JD Vance on Wednesday afternoon. "The only way to do that is with a temporary funding bill WITHOUT DEMOCRAT GIVEAWAYS combined with an increase in the debt ceiling."

The president-elect's statement came after many Republican lawmakers, urged on by billionaire Trump ally Elon

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◆ **Carlson kept Pompeo from administration job**..... **A6**
◆ **What cabinet picks say about Trump agenda**..... **A6**

Chinese Carmaking Boom Spurs Honda And Nissan to Talk

By Yoko Kubota

BELJING—The rise of Chinese carmakers is reconfiguring the global auto industry, with merger talks between Honda and Nissan the latest example of companies trying to respond to the competitive threat.

In the U.S., General Motors said this month it was taking \$5 billion in charges related to its China business. In Germany, Volkswagen is threatening to close factories and cut tens of thousands of employees. One of the underlying causes is the hit to VW's profit from lost market share in China.

Three fundamental facts lie behind these moves. More than half of new cars sold in China today are either fully electric vehicles or plug-in hybrids. Three in five Chinese buyers are choosing a domestic brand, the highest ratio since the country emerged as the world's largest car market.

And China's passenger-car exports quintupled between 2020 and 2023, hitting 4.1 million vehicles last year, accord-

ing to industry data.

It is the auto-market version of the changes China's rise has wrought in global politics and economics. The impact on cars took longer to come because China's local carmakers, many of them state-controlled, were behind in technology, quality and design.

Nissan, Honda, GM, Volkswagen and other Western and Japanese brands for decades dominated and milked the Chinese market, while having little fear of Chinese rivals encroaching on their own strongholds. During the good times, GM relied on China to pad its bottom line by about \$2 billion a year.

The foreign brands were taken by surprise at how quickly EVs and their plug-in hybrid cousins took off in China in the span of four years.

After Tesla ignited consumer demand for EVs in China, aggressive private en-

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◆ **Foxconn has discussed making bid for Nissan**.... **A7**

Markets Slide As Fed Signals Fewer Cuts

Bank makes expected decrease of quarter point, but hawkish turn rattles investors

By Nick Timiraos

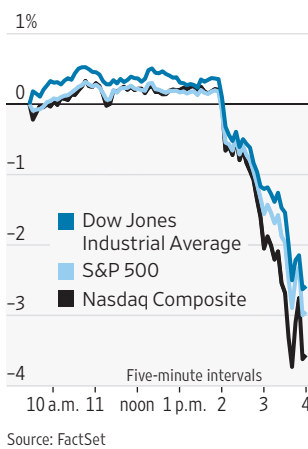
The Federal Reserve signaled greater doubt over how much it would continue to cut interest rates after agreeing to a quarter-point reduction on Wednesday that Chair Jerome Powell said was a close call.

Stocks went into a nosedive, with the major indexes all logging their worst day in months.

The declines accelerated throughout the afternoon as investors digested central-bank forecasts and comments from Powell that spurred concerns that rates might not go down again anytime soon. That was a notable shift after the Fed initiated rate reductions with a larger-than-usual half-point cut in September amid expectations that a steady sequence of cuts could follow.

"Today was a closer call, but we decided it was the right

Index performance on Wednesday



call," Powell said at a news conference after the meeting. He later added: "From here, it's a new phase, and we're going to be cautious about further cuts."

The Dow Jones Industrial Average lost more than 1,100 points, or 2.6%. That marked its tenth loss in a row—its worst losing streak in 50 years. The

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◆ **The Dow, S&P and Nasdaq drop sharply**..... **B1**

Aiming for 'Neutral,' Powell Jolts Investors

By Nick Timiraos

Investors shuddered on Wednesday after Chair Jerome Powell suggested the Federal Reserve was ready to take a break from cutting rates—and that the total quantity of reductions might be shallower than previously thought.

Powell has described recent rate reductions as an effort to recalibrate borrowing costs to a more "neutral" setting. His framing raises a question that hasn't been relevant until now: What, exactly, is "neutral" in the postpandemic economy?

The neutral rate of interest, or the rate that keeps the economy at full employment with stable inflation, can't be directly observed. Instead, economists and policymakers infer it from the behavior of the economy. If borrowing and spending are strong and price pressures are rising, the cur-

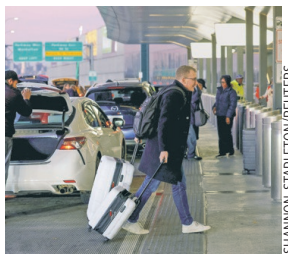
rent interest rate must be below neutral. If they are weak and inflation is receding, rates must be above neutral.

The debate over where neutral rests wasn't particularly important earlier this year because interest rates were at a level nearly all Fed officials deemed to be restrictive. That was intentional. Officials raised rates aggressively in 2022 and 2023 to lower inflation by cooling down economic activity.

But the question is front and center now because the Fed has cut rates by a full percentage point, or 100 basis points, and the economy appears to be in reasonably good shape. Like a captain who tries to avoid slamming into the dock as his boat nears its slip, central bankers could become more cautious in making cuts if they think they might be closer to their ultimate

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PERSONAL JOURNAL

Fastest way to the airport? A race tests the options in three cities. **A11**



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SPORTS

How the NFL's weirdest quarterback experiment just imploded. **A14**

It Pays to Have a Beard in Utah—Jesus Models Are in Demand

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Look-alikes get the superstar treatment; 'You know I'm not the real Jesus, right?'

By Bradley Olson

Bob Sagers was walking around an indie music festival in Salt Lake City when a friendly stranger approached and asked for his number.

"Has anyone ever told you that you have a Jesus look to you?" the man asked, accord-



Higher calling

ing to Sagers, a 25-year-old who works as a cheesemonger at a grocery store. It wasn't a pickup line—the man's wife was an artist looking for religious models.

"I didn't really get that a lot," says Sagers, who is 6-foot-5 with dirty-blond, shoulder-length hair and a beard he says

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U.S. Looks At Banning Popular Chinese Routers

U.S. authorities are investigating whether a Chinese company whose popular home-internet routers have been linked to cyberattacks poses a national-security risk and are considering banning the devices.

By Heather Somerville, Dustin Volz and Aruna Viswanatha

The router manufacturer TP-Link, established in China, has roughly 65% of the U.S. market for routers for homes and small businesses. It is also the top choice on Amazon.com, and powers internet communications for the Defense Department and other federal government agencies.

Investigators at the Commerce, Defense and Justice departments have opened their own probes into the company, and authorities could ban the sale of TP-Link routers in the U.S. next year, people familiar with the matter said. An office

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